



Time: 5 minutes

Outcome: Classify international asset purchases and trace interest-rate effects on NCO.

Difficulty: Intermediate

Capital Flows and Net Capital Outflow

THE CORE IDEA

Net capital outflow equals domestic residents' purchases of foreign assets minus foreign residents' purchases of domestic assets. Positive NCO is net capital outflow; negative NCO is net capital inflow. Capital tends to move toward more attractive risk-adjusted returns. In the textbook model, a higher domestic real interest rate lowers NCO and therefore reduces the supply of dollars in the foreign-exchange market.

HOW TO RECOGNIZE IT

- A U.S. resident buying a foreign bond raises U.S. NCO.
- A foreign resident buying a U.S. asset lowers U.S. NCO.
- Higher domestic real returns attract inflow and discourage outflow, lowering NCO.
- NCO supplies dollars to the FX market as residents acquire foreign assets.

WATCH OUT

NCO and NX describe different transactions: assets versus goods and services. They are equal as an accounting relationship in the course model, not because every asset purchase is an export.

WORKED EXAMPLE: CLASSIFY, THEN NET

Initially residents buy \$140 billion of foreign assets and foreigners buy \$90 billion of domestic assets, giving NCO of \$50 billion. Suppose a higher domestic real interest rate makes domestic assets more attractive: residents' foreign purchases fall to \$130 billion and foreigners' domestic purchases rise to \$100 billion. NCO falls to \$30 billion. These illustrative flows show the direction; the model does not predict a fixed response size.

CHECK YOURSELF

Foreign purchases of U.S. assets rise while U.S. foreign-asset purchases are fixed. What happens to U.S. NCO?